

Cambridge International AS & A Level

ECONOMICS

Paper 2 AS Level Data Response and Essays

2 hours

You must answer on the enclosed answer booklet.

You will need: Answer booklet (enclosed)

INSTRUCTIONS

- Answer **three** questions in total:
 - Section A: answer Question 1.
 - Section B: answer **one** question.
 - Section C: answer **one** question.
- Follow the instructions on the front cover of the answer booklet.
- You may use a calculator.
- You may answer with reference to any economy you have studied where relevant.

INFORMATION

- The total mark for this paper is **60**.
- The number of marks for each question or part question is shown in brackets [].

Section A

Answer all parts of Question 1.

1 Rice export restrictions and the price of staple food in low-income economies

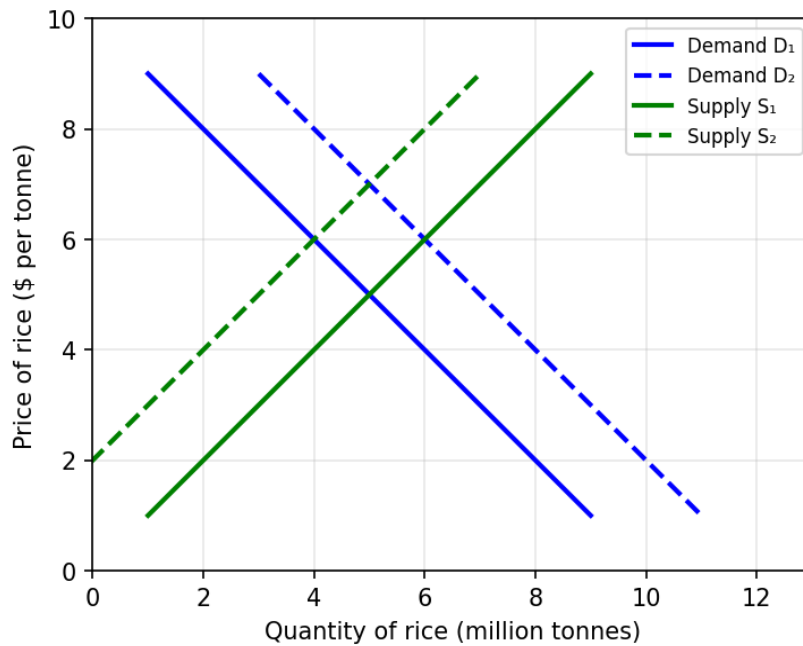
Rice is the staple food for over 3.5 billion people, particularly in Asia and parts of Africa where it accounts for up to 60% of daily calorie intake among low-income households. India is the world's largest rice exporter, accounting for around 40% of global rice trade, followed by Thailand, Vietnam, Pakistan and the United States. In mid-2023 the Indian government imposed a ban on the export of non-basmati white rice, citing domestic food price inflation and the need to ensure national food security ahead of an erratic monsoon season. The ban was extended into 2024. As a result, world rice prices climbed to a 15-year high. Importing countries — Nigeria, the Philippines, Indonesia and several West African economies — experienced sharp rises in their food import bills and domestic rice prices. The price elasticity of demand (PED) for rice is estimated at -0.15 in the short run, reflecting its status as a necessity with few close substitutes for many low-income consumers. The price elasticity of supply (PES) is estimated at $+0.4$ in the short run because farmers cannot easily increase output between harvests. In response, importing governments have adopted a range of policies: increasing buffer stocks, subsidising rice for poor households, imposing price controls on retail rice, and seeking to expand domestic production through input subsidies. Long-term proposals include diversifying staple food consumption and investing in agricultural productivity.

Source: Adapted from international press reports, 2023–24

Table 1.1: The global rice market

Year	Global production (million tonnes)	Global trade value (\$ billion)	Average price (\$ per tonne)
2018	495	35	410
2020	510	38	425
2022	520	42	460
2024	530	58	620

Fig. 1.1: The world market for rice



- (a) (i)** Identify **one** possible reason for the value of the short-run price elasticity of demand (PED) for rice. **[1]**
- (ii)** Calculate the percentage change in the average price of rice between 2018 and 2024, as shown in Table 1.1. **[1]**
- (b)** With the help of a demand and supply diagram, explain why global rice prices rose sharply in 2024. **[2]**
- (c)** Consider whether a maximum price set on retail rice by an importing government would be effective in protecting low-income consumers. **[4]**
- (d)** Assess the extent to which the use of buffer stocks would be the best way to ensure food security for an importing country such as the Philippines. **[6]**
- (e)** Assess the advantages and disadvantages of an importing country reducing its dependence on rice imports through diversification of staple food consumption. **[6]**

Section B

Answer **one** question.

EITHER

2 (a) With the help of a diagram, explain the difference between price elasticity of supply (PES) in the short run and in the long run **and** consider whether PES always becomes more elastic over time. **[8]**

(b) Assess the view that consumer surplus is always increased by a reduction in producers' costs of production. **[12]**

OR

3 (a) With the help of a diagram, explain the difference between economic goods and free goods **and** consider whether all goods involve an opportunity cost in their production. **[8]**

(b) Assess the extent to which the entrepreneurial factor of production is more important than the other factors of production for an economy. **[12]**

Section C

Answer **one** question.

EITHER

4 (a) Explain three measures used by economists to assess a country's international competitiveness **and** consider whether the terms of trade always improves when export prices rise. **[8]**

(b) Assess the extent to which expansionary monetary policy is the best way to correct a persistent current account surplus. **[12]**

OR

5 (a) With the help of an AD/AS diagram, explain two factors that may cause an outward shift of long-run aggregate supply (LRAS) **and** consider whether this will always lead to higher economic growth. **[8]**

(b) Assess the view that a low rate of unemployment is more important than a low rate of inflation as a macroeconomic objective. **[12]**